

ANNEXURE C

Business Responsibility Report

SECTION A: GENERAL INFORMATION ABOUT THE COMPANY

1.	Corporate Identity Number (CIN) of the Company	L29224TN1954PLC000318			
2.	Name of the Company	Carborundum Universal Limited			
3.	Registered address	‘Parry House’, 43 Moore Street, Chennai - 600001			
4.	Website	www.cumi-murugappa.com			
5.	E-mail id	cumigeneral@cumi.murugappa.com			
6.	Financial Year reported	1 st April 2021 to 31 st March 2022			
7.	Sector(s) that the Company is engaged in (industrial activity code-wise)				
	Group	Class	Sub-class	Description	Sector
	239	2399	23993	Manufacture of other non-metallic mineral products	Abrasives
	239	2393	23939	Manufacture of other porcelain and ceramic products	Ceramics
	007	0072	00729	Mining of other non-ferrous metal ores	Electrominerals
8.	List three key products/services that the Company manufactures/provides (as in Balance Sheet)	Abrasives, Ceramics and Electrominerals			
9.	Total number of locations where business activity is undertaken by the Company				
	(a) Number of International Locations (Provide details of major 5)	On a standalone basis, the Company does not have any manufacturing unit located outside India			
	(b) Number of National Locations	On a standalone basis, the Company carries manufacturing operations across 19 locations in India			
10.	Markets served by the Company	Local/State/National/International - All markets			

SECTION B: FINANCIAL DETAILS OF THE COMPANY

1.	Paid up Capital (INR)	₹ 189.86 million
2.	Total Turnover (INR)	₹ 22571.79 million
3.	Total profit after taxes (INR)	₹ 2544.77 million
4.	Total Spending on Corporate Social Responsibility (CSR) as percentage of profit after tax (%)	₹ 45.86 million (1.80% of profit after tax) (2.11% of the average net profits in preceding three years)
5.	List of activities in which expenditure in 4 above has been incurred	(a) Skill Development - Enhancing skills of underprivileged youth in the manufacturing sector to make them employable; (b) Education; (c) Health care including pediatric cardio surgery and initiatives for combatting and containment of COVID-19. For further details, please refer the Corporate Social Responsibility Report (Annexure B of Directors' Report)

SECTION C: OTHER DETAILS

1.	Does the Company have any Subsidiary company/ companies?	Yes. As on 31 st March 2022, the Company has 6 direct subsidiaries. Its wholly owned subsidiary - CUMI International Limited has 8 subsidiaries and its subsidiary-PLUSS advanced Technologies Private Limited has one subsidiary outside India. Out of the total 15 subsidiaries, 4 are situated in India and 11 are situated outside India.
2.	Do the Subsidiary company/companies participate in the BR Initiatives of the parent company?	Each Subsidiary company carries out BR initiatives as per their local requirements.
3.	Do any other entity/entities (e.g. suppliers, distributors etc.) that the Company does business with, participate in the BR initiatives of the Company? If yes, then indicate the percentage of such entity/entities? [Less than 30%, 30-60%, More than 60%]	The Company does business with reputed organisations who undertake BR initiatives as per their respective organisational policies. The CUMI Centre for Skill Development (CCSD), a direct CSR initiative of the Company has been established in Hosur, Edapally and Ranipet. The CCSD is carried on jointly with the Company's Joint Venture entities M/s. Wendt (India) Limited, in Hosur and M/s. Murugappa Morgan Thermal Ceramics Limited in Ranipet.

SECTION D: BR INFORMATION

1. Details of Director responsible for BR

(a) Details of the Director responsible for implementation of the BR policy/policies

1.	DIN	02402921
2.	Name	N Ananthaseshan
3.	Designation	Managing Director

(b) Details of the BR head

No.	Particulars	Abrasives	Ceramics	Refractories & Prodorite	Electrominerals
1.	DIN	NA	NA	NA	NA
2.	Name	Ninad Gadgil	Shyam S Rao	V G Rajendran	M V Sivakumaran
3.	Designation	Head-Abrasives	Head - Industrial Ceramics	Head- Refractories & Prodorite	Head - Electrominerals
4.	Telephone number	+91-44-30006161			
5.	E-mail ID	cumibrr@cumi.murugappa.com			

2. Principle-wise (as per NVGs) BR Policy/policies

(a) Details of compliance

No.	Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
i.	Do you have a policy/policies for	Y	Y	Y	Y	Y	Y	Y	Y	Y
ii.	Has the policy been formulated in consultation with the relevant stakeholders?	The policy(ies) has been framed keeping in mind the interests of the stakeholders at large.								
iii.	Does the policy conform to any national/international standards?	Various practises/processes emanating out of the policy(ies) conform to national/international standards.								
iv.	Has the policy been approved by the Board? If yes, has it been signed by MD/owner/CEO/appropriate Board Director?	Y	Y	Y	Y	Y	Y	Y	Y	Y
v.	Does the Company have a specified committee of the Board/ Director/Official to oversee the implementation of the policy?	Y	Y	Y	Y	Y	Y	Y	Y	Y
vi.	Indicate the link for the policy to be viewed online?	https://www.cumi-murugappa.com/policies-disclosure/								
vii.	Has the policy been formally communicated to all relevant internal and external stakeholders?	The policy(ies) has been disseminated on the Intranet as well as on the website of the Company.								
viii.	Does the Company have in-house structure to implement the policy/policies?	Y	Y	Y	Y	Y	Y	Y	Y	Y
ix.	Does the Company have a grievance redressal mechanism related to the policy/policies to address stakeholders' grievances related to the policy/policies?	The individual policies by and large prescribe a grievance redressal mechanism for the stakeholders concerned. Wherever, the individual policies do not explicitly state the grievance redressal mechanism, grievances can be addressed to cumibrr@cumi.murugappa.com.								
x.	Has the Company carried out independent audit/ evaluation of the working of this policy by an internal or external agency?	The Internal Auditors of the Company review the implementation of policies from time to time. The Company's various factories have been subject to audit by external certification agencies. No dedicated Business Responsibility audit has been conducted though the Company does participate in sustainability evaluation and audits conducted by its customers/suppliers from time to time. Ceramics has undergone the ECOVADIS audit and are certified Bronze and Silver respectively.								

(b) If answer to the question at serial number 2(a) (i) against any principle is 'No', please explain why: Not applicable

i.	The Company has not understood the Principles	Not applicable
ii.	The Company is not at a stage where it finds itself in a position to formulate and implement the policies on specified principles	
iii.	The Company does not have financial or manpower resources available for the task	
iv.	It is planned to be done within next 6 months	
v.	It is planned to be done within the next 1 year	
vi.	Any other reason (please specify)	

3. Governance related to BR

- i. **Indicate the frequency with which the Board of Directors, Committee of the Board or CEO assess the BR performance of the Company. Within 3 months, 3-6 months, annually, more than 1 year.**

The assessment is a continuous process and there is no defined frequency at which this assessment is done.

- ii. **Does the Company publish a BR or a Sustainability Report? What is the hyperlink for viewing this report? How frequently it is published?**

The Company publishes BR report annually and the report is available at <https://www.cumi-murugappa.com/policies-disclosure/>.

SECTION E: PRINCIPLE-WISE PERFORMANCE

Principle 1: Businesses should conduct and govern themselves with ethics, transparency and accountability.

1. **Does the policy relating to ethics, bribery and corruption cover only the Company? Yes/No. Does it extend to the group/ joint ventures/ suppliers/ contractors/ NGOs/ others?**

Commitment to ethical and lawful business conduct is a fundamental shared value of the Board of Directors, Senior Management and all other employees of the Company. CUMI's value systems are aligned with the Murugappa Group's Values and Beliefs guided by the Five Lights - spirit of the Murugappa Group: Integrity, Quality, Passion, Respect and Responsibility towards all stakeholders and the communities that the Company operates in and serves. The Company as well as all companies within the CUMI Group - its Subsidiaries, Associates or Joint Ventures are governed by this philosophy in addition to the requirements of their local jurisdictions.

CUMI's Right Path - a corporate manual setting out the corporate culture lays down the guidelines required to be adhered to by every employee both in letter and spirit. This manual prepared with a view to give clarity on ethical issues, maintaining transparency in all dealings and practice ethics in a dynamic business environment is required to be adhered to by all employees. The Company's Code of Conduct, Code of Conduct for Prevention of Insider Trading, Diversity policy, Policy on prevention of sexual harassment, ethical guidelines on stakeholder dealing, Whistle Blower policy which are also enshrined in the Right Path serve as a guiding norm in matters relating to ethics, anti-bribery and anti-corruption for all employees. The anti-bribery clauses are made part of its contractual arrangements with suppliers, vendors etc. The Company has also put in place transparent processes for dealing with confidential and sensitive information of the Company, legitimate purposes for which it can be shared and the manner to conduct enquiry in case of a violation etc., beyond the mandate of law.

The Company has a policy to do business with suppliers / contractors and others who are aligned with its value systems. Further, this alignment evaluation also forms a significant part of the due diligence programme while acquiring entities as per its inorganic growth strategy.

Appropriate due diligence is exercised while selecting them. An annual confirmation to the Company's Code of Conduct is sought from employees to continuously reinforce the commitment to ethical practices. In the past, the Company has been conferred the prestigious Golden Peacock Award in Corporate Ethics and also awarded the Golden Peacock Award for Corporate Governance in due recognition of its governance practices. During the year, the Company has been adjudged as one of India's Best Managed Company by Deloitte, in its maiden launch of global recognition programme in India.

In continuation of its dedicated initiative to sensitise its employees on ethical communication, the "Say it Right" programme transitioned into a full-fledged e-learning module across the Company. The Company also introduced a learning module on data privacy to sensitise the employees on data privacy laws and to bring an awareness on consequences of a breach. The Managing Director connects with the employees through weekly 'Thinking Aloud' e-mailers, which has now crossed successful 52 weeks. This weekly mailer from the Managing Director which has snippets of experiences and real life stories, a robust platform for building a culture of proactive innovation, relentless discipline, and collaborative teams.

2. **How many stakeholder complaints have been received in the past financial year and what percentage was satisfactorily resolved by the Management?**

During the year, there were two referrals made under the Whistle Blower policy of the Company. While one grievance pertained to the perceived quality control matter, the other was a time barred (more than a decade) complaint of an ex-employee against his superiors who are no longer associated with the Company. The referrals were duly investigated before resolution. No complaint was referred under the BRR grievance redressal mechanism.

Principle 2: Businesses should provide goods and services that are safe and contribute to sustainability throughout their life cycle.

The Company undertakes to assure safety and optimal resource use over the life cycle of its products. The Company being material science technology oriented, continuously innovates and strives for optimal resource use over the life cycle of the products it manufactures. The Purpose statement has been laid out after undertaking a very elaborate and participative exercise across the organisation to facilitate a common message strategy. The following statement has been imbibed into the Vision which predominantly addresses our core purpose of 'Making Materials Matter' by engineering material science solutions for an enduring planet.

During the year 2021-22, the Company reviewed its existing policies on sustainability, consolidated the same and re-framed the policy which is now subject to an annual review. The sustainability policy has been benchmarked to industrial standards. The policy which has been prepared in collaboration with academic institutions is built on:

- Economic Sustainability - creating circular economy to optimise resource utilisation, minimise resource depletion, reduce and re-purpose all forms of wastes.

- Environmental Sustainability - creating a better environment through minimisation of carbon footprint, reduced usage of energy, water and other natural resources.
- Human and Social Sustainability - creating a better tomorrow by partnering with society for the development of human capital through continuous skill upgradation & increasing employability for social well-being.

Through the above, the Company shall attempt to meet the UN Sustainable Development Goals. The Business plan and long-term strategy of Company is interlinked with the UN Sustainability Goals, thus making sustainability an integrated part of its business operations and specific action plans for effectively imbibing this integration have been drawn out.

1. List up to 3 of your products or services whose design has incorporated social or environmental concerns, risks and for opportunities:

Abrasives:

- Metal working fluids manufactured by the Abrasives Business are water soluble designed for easier effluent treatment, thereby having a low negative impact on environment.
- 'Fero' Grinding Wheel, developed with a fiber reinforced core can be re-cycled subsequent to use. This not only helps in keeping the costs under control, but also assists in reducing the carbon footprint.
- False Centre, use of recycled grains or naturally available materials in unusable portion of the grinding wheel has been successfully incorporated in the Chop-saw wheels, Snagging wheels and F-type wheels. Similarly recycled grains from rejected Coated Abrasives have been successfully recovered and used in Hand sanding rolls product group.
- Development of CERY rolls - Introduction of recycled yarn from used garments have been successfully introduced in the hand sanding rolls product - 85 per cent recycled yarn usage. 75000 meters of products produced under this method.
- Wearable Coated Abrasive cloth - elimination of de-sizing operation by modifying the processing techniques and chemicals - reduces water consumption in the de-sizing operation.
- Project Stheyas - Pilot project to develop building products from coated abrasives scrap and fibre glass scrap has successfully developed a range of products.

Electrominerals:

- Two modern fusion facilities set up in the previous two years to improve particulate emission control system. Additional efforts continue to be undertaken to reduce emission by making necessary structural changes within the facilities.
- Azure S - Improvements in the Selective Catalytic Reduction systems to avoid scrubbing process.
- Capacitor banks have been installed at Edapally and Koratty facilities of the Company to improve the quality of power supply, thus resulting in energy conservation,

reduction in power consumption and associated power costs.

- The Company has also successfully implemented a process to eliminate odour from Silicon Carbide fusion.
- Emission control systems have been installed by the Electrominerals Business to suit the White Fused Alumina operations in the Special Economic Zone. This optimises the suction and collection systems for the furnace, thereby reducing the power consumption and improving the product yield.
- The new product variant of Brown fused Alumina has the potential to reduce the energy consumption and lessen the carbon footprint, significantly.
- In the Specialty Alumina plant (Boehmins), processes have been implemented to reduce water consumption.
- Business has started using a superior quality 'quartz' for its silicon carbide operations at Koratty and combined with this, has improved the furnace control system with PLC controls which has helped to achieve a better energy efficiency as well as yield for the year 2021-22.
- Business has commenced and completed several significant initiatives to reduce the carbon footprint in manufacture of Fine powders by capex investment to reduce energy consumption of Fine Powder manufacturing which includes investment for setting up Hot air milling and Variable Frequency Drive for cooling water pumps.
- VFD installation for 30 kW pump in cooling tower at Silicon Carbide manufacturing facility, Koratty has helped to reduce the energy consumption for Fine powder facility at Koratty unit.
- Business has taken an initiative to set up a 1.846 MW solar plant installation on BOOT basis to reduce its dependency on other conventional energy sources.

Industrial Ceramics:

- Wear Resistant Ceramics and Composites using Ceramics and Rubber in Pulverized Fuel Bends for Thermal Power Plants Mineral Handling applications and Cement industry - reduces energy losses and also improves the yield of end products.
- Metallized Cylinders - continue to be used in vacuum interrupters with higher ratings. This is a replacement for Sulfur Hexafluoride based interrupters which are considered to be an environmental hazard.
- Engineered Ceramics - Furniture for Solid Oxide fuel cells- used in alternate mode of power generation for green energy equipment.
- The Fired rejects from the Industrial Ceramics Business is internally sold to another Business of the Company - Super Refractories - where it is crushed and used in Monolithics Product, thus promoting a low waste economy.

Super Refractories& Prodorite:

- In the Refractories Business, efficiency improvement

activities, continue to yield good results in waste reduction. Further reduce - reuse - recycle approach is followed across all product processes in line with TPM methodology.

- The Refractory products manufactured by the Company are inherently designed and developed to yield an extended life cycle.
- The Company also manufactures Refractory products for protection of boiler pipes used in Waste Heat Incinerators.
- The Company also supplies Silicon Carbide spray nozzles for key projects which is used in Flue Gas de-sulphurisation. The Company's Composites Business produces abrasion resistant composite pipes and gratings which is also used in Flue Gas de-sulphurisation.
- The Company has dedicated state of the art Research and Development centres across its businesses certified by the Department of Scientific and Industrial Research (DSIR) serving as centres of excellence for research and strengthening the platform for competency & sustainable growth.
- Prodorite Business is working closely for the national mission of implementation of Flue Gas desulfurization Original Equipment Manufacturers (OEMS) to reduce pollution due to Flue Gases from power plants. The Company has serviced many Spray header systems and the wear piping and spray nozzles for this cause to many OEMs.

2. For each such product, provide the following details in respect of resource use (energy, water, raw material etc.) per unit of product (optional):

- a. Reduction during sourcing/production/distribution achieved since the previous year throughout the value chain?**
- Significant part (~30 per cent) of the energy requirement for the Electrominerals Business - the major user of electric energy is from the Company's own Hydel power station - green energy.
 - The Company's Electrominerals Business has installed PLC based furnace controls in two of its pot furnaces in place of amplydyne technology. This change has resulted in optimum power consumption during the fusion process.
 - Almost entire power requirement for the Company's facilities in Tamil Nadu is met by SEDCO - our own gas-based power station - clean power. Kilns and processes are designed to consume low energy per unit of production. This is managed by programs impacting both the primary and secondary energy consumption points through EnMS. Since last year, SEDCO has forayed into solar power generation business with an objective to provide renewable energy solutions not only to public at large but to the Company's various plant locations.
 - SPC (Specific Power Consumption) & SFC (Specific Fuel Consumption) programmes are driven using TPM methodologies and is regularly monitored. The

Company has taken several steps including installation of Hot Air Generation Systems for Dryers, Turbo blower for kilns, Timers for lighting idle stoppages, etc. to reduce power and fuel consumption.

- The Company has assisted in TPM and 5S implementation at the suppliers' end to improve material yields and reduce energy consumption.
- A new backing treatment process has been developed and implemented by the Coated Abrasives manufacturing plant which is expected to save one million litres of water per month. In order to maintain Zero Liquid Discharge status in its facilities, various initiatives including installation of Jet Aeration system, Effluent Treatment Plant (ETP) recycled RO water for boiler feed etc. have been undertaken.
- Indigenous development of ABV Max, ABR Max, AC Max range of Brown fused Alumina grains in Electro Minerals plant at Kochi has replaced importing the materials, resulting in transport to 600 kms as against shipments which involved travel of more than 5000 km.
- Shredding and Recycling of Rubber lumps: Lumps generated after the Rubber sheeting and disintegration process have been successfully recycled, using a shredding process without vulcanizing the Rubber mix. This has eliminated the scrapping of the rubber lumps to the extent of 8 per cent.
- Humidification process has been discontinued in Sriperumbudur Plant – Elimination of Steam Usage – 4KL Ltrs of FO Saved.
- Solar power generation- Installed 635Kwp and 100 KWp in SPR and TVT operations. Generated 76110 Kwh for the year. Seen a reduction of 30Ton of CO2.
- Reduced the weights of the primary cartons through design modification resulting in reduction of RM usage for the Packing cartons. Saved 70 Tons of paper materials saved.
- Recycling of incoming packing materials in outbound packing (SCM).
- Online monitoring systems across several plants using sensors and technology connectivity to eliminate physical recording in paper, print etc. and thereby saving use of paper.
- The Industrial Ceramics Business has installed a high capacity Effluent Treatment Plant with which the permeate recovery from RO plant can be improved up to 85%. Using this RO permeate, about 18KL/day water has been recycled.
- The Company uses a cleaner gaseous fuel (LPG) in Metallized Cylinder manufacturing line. Combustion efficiency of gas firing is higher when compared to that of gas fuels. Further, the thermal mass of Refractories in these furnaces is reduced to enable a faster firing cycle and thereby reducing the peak temperature. This has helped in minimising the energy consumption to the extent of 20 per cent when compared to that of liquid fuels and long firing cycle.

- The Industrial Ceramics Business has put in place processes for conversion of existing liquid fuel with natural gas for sintering processes. After successful implementation, the same is expected to be replicated in other businesses.
 - The Industrial Ceramics Division has successfully migrated to Natural Gas (NG) from Liquid Fuels and Liquid Petroleum Gas (LPG) for the sintering processes. The NG migration in both IC & Bonded divisions was started in July 2021. Initially two furnaces which were using LPG were migrated to NG. Concurrently, tunnel kiln in Bonded Division was migrated to NG in the same month. From October 2021, migration from liquid fuel to NG were implemented in all tunnel kilns in IC division. With this we have replaced 12KL of Liquid fuel and 1.5T of LPG with NG on a daily basis. Further we are planning on the conversion to NG for the spray dryers in IC plant by Sep 2022.
 - The IC division has secured higher allocation of 26200 SCMD from GAIL, from the initial contracted allocation of 12200 SCMD thus enhancing the capacity for additional requirements.
 - The Electrominerals Business has set up a bio-waste treatment system for canteen wastes. The Zero discharge filtration system commissioned in the new Boehmite facility at Kerala has resulted in reduced consumption of process water during Boehmite manufacture.
 - The new variant of Brown Fused Alumina developed by the Electrominerals Business requires 40 per cent less energy per ton of its manufacture.
 - Metal Halide Lamps have been eliminated in the Company's Refractories and Composites facilities by installation of LED lights, Variable Frequency Drives, Recuperators. Further, energy efficient Air Conditioners have also been installed to conserve electricity. This has resulted in reduction of 72005 units of energy towards auxiliary consumption.
 - Both Refractory plants at Ranipet and at Serkaddu have implemented zero liquid discharge through efficient treatment plants.
 - Initiated a project for reducing the machine oil usage in Abrasive products through replacement of temporary binders thus resulting in 60 per cent reduction in emission. Further, products have also been adopted in low temperature firing cycles as well as fast firing cycle to reduce energy consumption.
 - Replacement of high carbon emission temporary binders with low emission temporary binders across products in the Abrasive Business.
 - New Heating Systems (HAG) for coated abrasives maker 2.0 have been set up to save energy and reduce air pollution.
 - Upgraded wet scrubber system in Serkaddu plant to reduce emission and odour to a greater extent has been implemented.
 - Wet Scrubbers have been built in the Maker process for reducing the odour and discharge of particulate matter.
 - Resin edge elimination system has been implemented in Abrasives for yield improvement and waste reduction at source.
 - Load manager and heat recovery system for air compressors have been set up in Abrasives Business to save electrical energy and fuel.
 - HVLS (High Volume Low Speed) fans have been built in the Conversion process for reducing the temperature thus creating a healthy working environment.
 - The Company's Refractories Business has eliminated the usage of Superior Kerosene Oil (SKO) and diesel in its facilities by alternatively using C9 fuel, for Kiln firing.
 - We are a zero discharge Company in almost all locations.
 - The use of improved quality of quartz along with Furnace control system has resulted in a better yield of Silicon Carbide. This has also helped the business to reduce the specific power consumption per ton of final product by about 5 per cent.
 - The new system of hot air milling along with the VFD system for cooling water pumps is expected to reduce the average power consumption for the final product by more than 22 per cent.
 - The proposed solar project once commissioned would help the business to meet 1.5 per cent of the total energy requirement.
- As the Company's product range is over 20,000 SKUs, unit consumption is not an appropriate measure.
- b. Reduction during usage by consumers (energy, water) has been achieved since the previous year?**
- The Company has been continuously developing superior Grinding wheels that are more efficient in material removal resulting in lower power consumption by user entities.
 - The Company develops high performance Grains that have higher material removal per unit energy.
 - The 'Fero' Grinding Wheels, developed with a fibre reinforced core, has achieved reduction of wheel weight to the tune of 20 per cent, capable of higher speeds and thereby reducing the power consumption.
 - Four of the Abrasives divisions are EnMS 50001 - Energy Management System certified initiating management programmes from time to time.
 - The Company has installed a solar energy plant at three of its facilities in Tamil Nadu.
 - The Company's Super Refractories Business at Serkadu, Tamil Nadu received the 'TPM Significant Achievement Award' in recognition of its achievement towards Manufacturing Excellence. Adoption of strong TPM methodologies by the Company's Refractories Business has resulted in waste elimination, cost reduction, product quality & performance improvement at its facilities.
 - Recuperator in Ranipet kilns have been upgraded for better energy efficiency.

- A new kiln with energy efficient lining has been installed in Serkaddu plant to reduce energy consumption upto 15 per cent.
- Some of the Engineered Wear Resistant Tiles are being manufactured using direct moulding instead of moulding and cutting, leading to reduction in usage of raw materials.
- The Company's Industrial Ceramics facility that manufactures Metallized Ceramics utilisesLiquified Petroleum Gas (LPG) as fuel instead of liquid fuel for firing its products. LPG as a fuel inherently has a better calorific value. The Industrial Ceramics Business is implementing a process for conversion of liquid fuel (HSD & SKO) run furnaces to Natural Gas. Natural gas being a cleaner gas will result in a cleaner environment as well as reduce costs.
- Water Consumption reduction of 33 per cent achieved by effective recycling of rain water for 5 months in Boehmite production facility with energy consumption reduction from 1369 kwh / run to 1090 kwh / run.
- Furnace control system with PLC controls in Silicon Carbide furnace has helped to reduce the energy consumption per run by 345 kwh /run.
- In WFA plant facility at CUMISEZ, redesign of furnace shell and introduction of VFD has helped to reduce the energy consumption by 25 kwh / ton.
- Electromineral Business was recipient of SEEM national Energy management Gold Award for year 2021.

3. Does the Company have procedures in place for sustainable sourcing (including transportation)? If yes, what percentage of your inputs was sourced sustainably?

The Company's integrated operations ensures sustainable exploitation of the available resources. Joint project opportunities amongst various business units improve efficiencies in sourcing besides resulting in product efficiencies.

Conscious efforts are made to ensure that everyone connected with the Company be it the value chain members, customers and recyclers are made aware of their responsibilities.

The Total Productivity Maintenance (TPM) practices across plants helps in not only achieving operational efficiencies but also results in energy conservation and sustainable operations. Usage of materials which are either recycled or capable of recycling assumes top priority. During the year 2017-18, the Coated Abrasives plant, Sriperumbudur received the JIPM Award for Excellence in Consistent TPM commitment. The JIPM Award for TPM Excellence, Category A was received by the Bonded Abrasives, Hosur Plant. Again, JIPM Award for Excellence in Consistent TPM commitment was received by the Maraimalai Nagar Abrasives plant and the Industrial Ceramics plant, Hosur received the JIPM Award for TPM Excellence, Category A during the year 2017-18. During the year, the Refractories Business has obtained the JIPM Award for TPM Excellence - Category A as a recognition for operational efficiency and maintenance excellence in its plant locations.

The Company's Electrominerals Business has also received TPM Strong Commitment award for three of its plants.

The recognition for TPM practices across various plants resonates with the Company's focus for sustainable operations across the organisation.

In the Abrasives business which is the main business segment of the Company, sustainable sourcing is incorporated in the processes and procedures as follows:

1. Energy Management initiatives are captured in our Supplier addition checklist.
2. Focused Sustainability projects like reducing the weight of packing materials, water consumption, energy consumption (in replacement of roof sheets) etc. are reviewed.
3. Procurement of paper is undertaken only from FSC certified mills.

At Company's Industrial Ceramics Business post pandemic, the business was able to swiftly bring back the plant efficiency and sustain the productivity levels through TPM methodologies. Dedicated activities relating to Hygiene Pillar to improve and maintain the health and hygiene of the work place have been introduced.

The challenges of logistics and commodity price increases are being addressed through structured TPM methodologies.

The Company's energy conservation measures have in the past been duly recognised by the Energy Management Centre, Kerala by way of a special commendation for the initiatives undertaken by the Electrominerals Business during the FY 2018-19.

The Company's Industrial Ceramics Business had received the Frost and Sullivan Manufacturing Excellence award during the FY 2018-19 in the Gold category in recognition of its sustainable and efficient manufacturing practices.

The raw material for the Sintered Silicon Carbide manufacturing in our Industrial Ceramics Business would be sourced internally from our Electrominerals Business. Identification of stabilised alternate sources of Calcined Alumina for the Wear Resistant Products in our Industrial Ceramics Business is under way.

The alternate source for its major raw material and water mode of transport -is more sustainable for the Electrominerals Business as it consumes lesser fossil fuels for transportation from the domestic suppliers.

The Electrominerals Business won the Gold in Energy management instituted by SEEM -Society of Electrical for the initiatives undertaken by the Electrominerals Business during the FY 2019-20.

The Electrominerals Business was also awarded the IEI Industry Excellence Award for it's all-round excellence in manufacturing featuring business growth with sustainable initiatives and energy management programmes.

4. Has the Company taken any steps to procure goods and services from local & small producers, including communities surrounding their place of work? If yes,

what steps have been taken to improve the capacity and capability of local and small vendors?

The Company's global and complex operations does not complement the procurement of goods and services from local and small producers in its location of manufacturing operations. However, the Company interacts with the local & small producers at regular intervals on the business and quality requirements. Assured volumes instill confidence in them to supply quality products by adopting sustainable and safe practices.

All the sub-contracting works of Abrasives Business are being provided to small and local producers only and also procurement of packing materials are particularly managed with the local suppliers. In order to enhance the capability and capacity of small/local businesses, chosen vendors are trained on TPM techniques to improve their process quality and also support them with Vendor financing options.

The Company from time to time provides training and guidance on optimum use of resources, thereby saving cost and time. This has resulted in the small producers manufacturing products which are benchmarks in quality, thereby gaining an edge over the market. The Industrial Ceramics Business exclusively obtained requisite approvals from the authorities concerned on behalf of its partner vendors (to function during the lockdown period). This not only helped the Company honour its export obligation but also helped the small vendors from closing down their business.

The Industrial Ceramics Business had good order bank from Global customers during second and third wave Covid lockdown in India. More than 75% of the products were exported from this division. We have more than 30 MSME partners mainly with discrete operations around the community supporting our primary operations and they do job work activities like fabrication, machining and critical tool manufacturing.

The Electromineral Business sources many engineering spares and services related to O & M through local community. The MSME procurement has increased from 0.75% to 10% over last one year. The procurement within the own district has been significantly enhanced from 13.86% to 29.23%. Most vendors are provided support through constant guidance in developing the expertise required for carrying out the work.

5. Does the Company have a mechanism to recycle products and waste? If yes, what is the percentage of recycling of products and waste (separately as 10%)?

Duly recognising that over consumption results in unsustainable exploitation of the planet's resources, the Business units in the Company are committed to promoting sustainable consumption, including recycling of resources.

The Company has an integrated value cycle mapping process. For example: the setters (a process consumable) used in the Ceramics plant(s) is post usage sent to the Refractory plant(s) for use in Castable manufacture.

The treated main waste is in the form of skeleton waste from jumbos. More than 50 per cent of the gross loss from this waste

is recovered in the form of marketable products. Further, the loss of grains in green form is completely recovered. The Grinding wheels which are rejected are further broken down and utilised for recovery of grains, which is again used in the manufacture of wheels.

In the Electrominerals Business, the byproducts/semi-converted materials of major products are being recycled completely to ensure minimisation of wastage.

The Refractory Business has established processes to reuse the mineral waste arising out of spillage, chipping, damage, grinding and after the life cycle of Refractory lining from various user industries.

The Industrial Ceramics Business has set up an Occupational Health Center made from "Stheyas" - a recycled material made in-house in Serkadu using waste from Abrasives.

The Occupational Health Centre consists of two observation rooms and one doctor room as specified under the statute. The facilities include 24/7 nursing assistance along with 4 designated doctors consultation time per weekday, presence of emergency medical equipment like Automated External Defibrillator (AED), Oxygen Concentrator, Oxygen Cylinders, IR Lamp, Kiosk for Rapid Antigen Test etc. Treatment for the first aid cases along with general consultation is provided at the OHC and in case of any emergency, cases are referred to nearby Hospitals in Hosur. A reputed hospital is managing the OHC services.

Principle 3: Businesses should promote the well-being of all employees.

Employees' well-being continued to be a top priority for the organisation especially considering the year witnessed the delta variant of the COVID-19 which caused the deadliest wave of the pandemic in India in the first quarter of the year. Considering the pandemic situation, the awareness campaigns and health advisories and COVID protocols were monitored with more rigor and dedicated COVID care packages were rolled out.

Any organisation is as good as the people who work for it. The trusting and caring ecosystem allows the Company to nurture a workforce that works passionately in tandem with its core values. Safety and well-being of our employees lie at the core of our business philosophy.

The Company is committed to providing equal opportunities both at the time of recruitment as well as during employment irrespective of caste, creed, gender, race, religion, disability etc. The Company strives to keep the workplace environment safe, hygienic, humane, upholding the dignity of the employees including conducting trainings and sending suitable communications on regular basis. The Company's strategic pillars for capability talent development, propelling performance and other dedicated HR initiatives continue to facilitate constant upgradation of the skill and competency of the employees.

To inculcate cross-cultural sensitivity, employees dealing with subsidiaries or customers abroad, have been made to undergo dedicated trainings.

Platform for Accelerated Career Experience (PACE) - a platform for cross-functional experiential learning was launched during the year. The platform provides an opportunity for employees to work on different projects of their choice. Forty-nine mentors or 'Career Sherpas' were given an orientation on how to guide

and mentor project aspirants. PACE is envisioned to help develop capability in different functional areas, and improve the engagement level of employees, especially millennials.

During the year, 9 new projects were launched through PACE and saw completion of 12 projects. The Company's Catalyst programme, a voluntary self-directed mentoring programme has been instituted to aid employees in choosing and connecting with mentors. During the year, 9 new mentors were added to the list of trained mentors.

To enhance technical know-how, sponsorship support is extended in Bachelors/Masters and PhD programmes in technology with premier institutes. The dedicated learning and development programmes enhance the right skill sets and relevant knowledge required to perform better in present and for future. The learning solutions are designed as per the training need analysis. The Company's strategic pillars are capability development, building a high-performance culture, learning and development, mentoring and upskilling employees and building competencies. Towards this, Company collaborated with leading institutes to create customised leadership and learning programmes. Learning, Education and Development (LEAD) is one such flagship programme implemented at the Electrominerals Business in partnership with Rajagiri Business School.

High Potential Talents who are identified as future leaders through multi-source feedbacks and assessment were enrolled for different development programmes. Employees who were identified as potential business leaders are enrolled for a Business Leadership Programme in collaboration with Indian Institute of Management, Bangalore and employees who are identified as mid-level leaders are enrolled for CUMI Leadership programme in collaboration with Great lakes Institute, Chennai.

A structured communication from the leadership team keeps the employees connected and informed about the business and related information. Managing Director connects with employees through a half-yearly Town Hall covering employees across the globe. Business Heads and Functional Heads have a regular communication schedule with their team, engaging the multi-generation, multi-disciplinary employees.

A quarterly session on "Ask the President" was initiated to have the millennial employees discuss with the Business Head of Abrasives Division and ask various questions, share their views. This discussion was aimed at improving the working environment and motivating the employees.

A regular dialogue and a transparent approach with shopfloor workforce has helped in maintaining a cordial industrial relations across manufacturing locations of the Company.

Select Employee Policies are reviewed during the year to stay relevant and inclusive. Employees are encouraged to carry out their annual/bi-annual medical checkup within the stipulated time. Awareness campaign based on FHH (Fitness, Health & Happiness) theme encouraged employees to participate in different initiatives to maintain/improve their health.

Counselling support was extended to employees who are in distress. Online counseling facility was made available to family members also. This facility provided an opportunity to vent out and seek psychological support from a counsellor when it is required.

Providing and maintaining a safe and hygiene working environment is a continuous process at CUMI. Periodic awareness sessions, training on usage of protective equipment, identifying and eliminating unsafe conditions are given top priority. Workplace safety is of prime importance to the Company and there have been sustained efforts over the year in training employees to raise awareness of safe work practices. Behaviour based safety training has been introduced along with gaming as a methodology to train the younger generations. A stringent safety assessment and methodology was introduced with the Electrominerals Business being the first Business to have its plants undergo a safety audit and risk assessment. Office TPM has been introduced at the offices, as a measure to improve employee productivity and safety. With a focus on ergonomics, reducing waste and clutter, minimising unnecessary movements, and reducing fatigue, this initiative aims at creating a truly world-class environment in the Company's offices.

Most of our plants are ISO 45001-2018 certified for occupational health and safety management systems. The Company continues its commitment to employ and empower women and its initiatives such as friendly workplace policies for women, policy for prevention of sexual harassment, redressal mechanism in the form of Internal Complaints Committee, Women Welfare Committees etc., augurs well.

The entire leadership team attended a refresher programme on Prevention of Sexual Harassment at workplace. This is in addition to the regular training and awareness sessions on this subject being conducted across the Company. The participation showed the commitment to create a better workplace recognising the dignity of each employee.

With onset of the COVID-19 pandemic in India many initiatives were taken up to enhance employee health and safety, while also ensuring business continuity. Extensive Business Continuity Planning and scenario planning was done to plan ahead for business exigencies. Awareness sessions were conducted across various locations and the importance of sanitisation / hand washing and other hygiene factors as well as social distancing was not only continuously communicated but the offices and plants were equipped with the requisite facilities to ensure the same. Guidelines on visitor protocols, meetings, travel etc. were quickly revised, reviewed and published on regular basis etc., in line with the government guidelines. Flexibility in work location is provided wherever required/feasible. Daily awareness communications, dedicated helplines for counselling and regular check-up on the mental and physical health of the employees were conducted. Due safety and health protocols were followed including conduct of a health checkup before the employee resumed duty in some of the locations. When the lockdown guidelines were relaxed, strict safety protocols were implemented at the premises to ensure the safe return of employees. Protocols included self-declaration at entry, temperature check, sanitisation of shopfloors and offices, social distancing work style and food that boosted immunity.

A dedicated quarantine centre was set up swiftly to facilitate the treatment of COVID infected employees in line with Government protocols. Employees who were recommended home quarantine were able to use the quarantine centre.

While most of the sales calls continued to be undertaken through the virtual mode, to ensure safety of its employees during

customer facing interactions, employees were provided with a complete kit comprising of personal protective equipment, gloves, masks, immunity boosting supplements, sanitiser etc.

A special relief package was introduced for any unfortunate death of an employee due to COVID-19.

Medical infrastructure was improved at all locations with dedicated oxygen concentrator at each unit. Medical teams were engaged at major locations and tie up with hospitals were executed for better treatment facility.

Once the vaccination was available, special vaccination camps were organised across units to facilitate COVID vaccination to all employees including contract workforce. Special awareness sessions were organised to alleviate any fear related to vaccination.

Employees who exhibited exceptional value behaviors were recognised with a coveted "Shine Award". With safe and hygiene working environment being the focus during the pandemic, behaviour-based safety training was conducted both physically and virtually. Learning modules included safety awareness, usage of protective equipment and identifying & eliminating unsafe conditions.

1. **Total number of employees:** The number of employees as on 31st March 2022 (including Non-Management staff) was 2121.
2. **Total number of employees hired on temporary/contractual/casual basis:** 3531
3. **Number of permanent women employees:** 82
4. **Number of permanent employees with disabilities:** 13
5. **Do you have an employee association that is recognised by Management?**

There are recognized trade unions affiliated to various trade union bodies. There are recognised trade unions affiliated to various trade union bodies.

6. **What percentage of your permanent employees are members of this recognised employee association?**

About 32 per cent of the employees are members of recognized employee associations.

7. **Number of complaints relating to child labour, forced labour, involuntary labour, sexual harassment in the last financial year and pending, as on the end of the financial year.**

No.	Category	No. of complaints filed during the financial year	No. of complaints pending as on end of financial year
1.	Child labour/forced labour/involuntary labour	Nil	Nil
2.	Sexual harassment	2	-
3.	Discriminatory employment	Nil	Nil

8. **What percentage of your under mentioned employees were given safety & skill up-gradation training in the last year?**

No.	Category of employees	Safety Training	Skill up-gradation
1.	Permanent Employees	100%	90%
2.	Permanent Women Employees	100%	70%
3.	Casual/Temporary/Contractual Employees	100%	50%
4.	Employees with Disabilities	100%	85%

Principle 4: Businesses should respect the interests of, and be responsive towards all stakeholders, especially those who are disadvantaged, vulnerable and marginalised

1. **Has the Company mapped its internal and external stakeholders?**

Yes. The Company has identified its internal and external stakeholders.

2. **Out of the above, has the Company identified the disadvantaged, vulnerable & marginalised stakeholders?**

The Company's Corporate Social Responsibility (CSR) policy drives the initiatives undertaken by the Company towards the benefit of the disadvantaged, vulnerable and marginalised stakeholders. The systems and process in place to systematically identify stakeholders and for understanding their concerns and for engaging with them is reviewed from time to time. The feedback mechanism available for members and customers to assess the service levels and other complaints helps aligning with the spirit laid down herein.

3. **Are there any special initiatives taken by the Company to engage with the disadvantaged, vulnerable and marginalised stakeholders?**

The Company on a periodical basis undertakes dedicated activities as a part of its CSR initiatives for the disadvantaged, vulnerable and marginalised stakeholders in and around the Company's factories/ plants. Education, sports and health aids are provided to schools in rural/underdeveloped areas and to schools supporting differently abled children. The Company acknowledges the importance of skill development in this competitive environment and has set up the CUMI Centre for Skill Development (CCSD) with the motto of 'Honing Skills Shaping Lives' at Hosur, Tamil Nadu, Edapally, Cochin (Kerala) and Ranipet, Tamil Nadu and also plans to gradually expand to other locations as well. The CCSD has been set up to build a skill bank of a technically competent and industry ready work force by providing specialised training based on National Council Vocational Training syllabus for the rural youth drawn from socially and economically backward sections of the society.

The Company also pursues other local community assistance programmes in and around its plant and office locations.

The Company engages with disadvantaged, vulnerable and marginalised stakeholders through different platforms. CSR initiatives for the communities around the Company's plants are a strong touchpoint as they are developed specifically to cater to the needs of such stakeholders.

The Electrominerals Business undertakes extensive work with surrounding communities on green initiatives, kitchen gardens, composting etc., which is appreciated particularly by the women in the communities etc. Similarly, many workshops were undertaken at dedicated centres catering to the student population and parenting needs of both employees and community members. These initiatives have also led to the Electrominerals Business being awarded the Rotary Award for CSR projects, particularly in the area of Child Development.

The Company has also tied up with the Don Bosco Tech, Chennai which is a vocational skill training centre, offering Grinding and Machining courses. The students of the institution undergo hands-on training in the Company's facilities and are tutored under a highly experienced grinding expert.

Voluntarily, employees of Company (belonging to the CUMI Shared Services - CSS) have pooled in their resources, time and efforts to support a government school at Athipattu village, near Chennai. From 2011, till date the CSS team has been visiting the school twice a year, every year, to interact with the students. X standard students are provided with stationery, model question papers and guidance on approaching the Board Examinations. Students receiving over four hundred marks are felicitated with cash awards. Students of IX and X standard, join the event which includes motivational speeches highlighting the importance of education. Such employee led initiatives are a matter of pride for the organisation.

Every year, 50 underprivileged children are provided support in personality development and educational support. The Ask (Attitude Skill Knowledge) centre activities started in Kalamassery locality, Ernakulam District has been further extended to Koratty locality, Thrissur district.

As part of women empowerment initiative, training is imparted to women on Mushroom cultivation with active support of NGO, Rajagiri Outreach.

Principle 5: Businesses should respect and promote human rights.

1. Does the policy of the Company on human rights cover only the Company or extend to the group/joint ventures/ suppliers/ contractors/NGOs/others?

The Company's policy on human rights is imbibed in its values represented in the Five Lights guiding the Company, its group companies and their employees across all spheres. The alignment with this value system is expected out of any person dealing with the Company.

2. How many stakeholder complaints have been received in the past financial year and what per cent was satisfactorily resolved by the Management?

Nil under this principle.

Principle 6: Business should respect, protect, and make efforts to restore the environment.

1. Does the policy related to Principle 6 cover only the Company or extends to the group/joint ventures/ suppliers/ contractors/ NGOs/others?

Safeguarding and protecting the environment is a shared value of the Company and its Subsidiaries, Joint Ventures and Associates. However, these companies have their own Safety, Health and Environment policies depending on the nature of their business and the local regulatory requirements. The Company's suppliers and contractors would be governed by their respective policies. The Company exercises due diligence in the selection of suppliers/ contractors/others who are aligned with its value system.

2. Does the Company have strategies/ initiatives to address global environmental issues such as climate change, global warming, etc?

Being in the manufacturing business, the Company has mechanisms in place to ensure compliance with the applicable environmental laws. The Company is committed to be an environment friendly organisation and has a dedicated Environmental Policy across all its Business units. The Company is an active player in practicing initiatives to address environmental issues and ensuring sustainable development. Almost all the locations of the Company have received the ISO 14001 certificate for their Environment Management Systems and ISO 9001 for Quality Management Systems. Most of the plants are seen as Model Plants with Zero Discharge and Zero Emission. Further, the Risk Management framework covering the Environmental risks is reviewed on a periodical basis and the steps that are required to be taken for mitigating the related risks are analysed and implemented.

The Company also recognises the significance of a greener belt by virtue of which a number of saplings are planted on a yearly basis to reduce the carbon footprint. The Company also continues to support to the cause of water scarcity by setting up rainwater harvesting ponds.

Some of the businesses of the Company like Industrial Ceramics are exploring availing carbon credits for usage of natural gas against liquid fuel.

The Company is actively engaged in the Flue Gas desulfurisation to reduce the pollution from the power plants with our products Spray headers, piping and spray nozzles.

With the successful migration to Natural Gas (NG) in both Industrial Ceramics & Bonded Abrasives, have replaced 12 KLD of liquid fuel with Natural Gas. NG being a cleanest fuel gas available, will reduce 25% CO₂ emission. It is also Sulphur free (by 100%) and reducing the NO_x (by 90%) in comparison to Liquid fuels. Also, Green supply chain of NG supplied through piping totally eliminated the logistics required in supply of Liquid fuel.

According to conservative estimates, we are reducing 2 million Kgs of CO₂ annually in both IC & Bonded divisions (which is a little less than 13% of the scope1 emission of USEPA Guidelines on GHG emissions).

Electrominerals Business has developed a strategy to drive its future growth plan by focusing on value creation of existing conventional products through treatments, developing speciality products both of which would enhance the product performance at customer end and developing a range of transformational products which would result in conservation of resources and improved performance at ultimate customer end. The Business has been continually working on increasing the green belt in the production facilities through various initiatives linked to tree plantation. This has helped to create a lush green environment inside the campus.

The Company has initiated a study through an external competent agency to measure the carbon footprint and identify & implement measures for mitigation. During the year, dedicated awareness sessions on the ESG global best practices both regulatory and otherwise was conducted across the businesses of the Company as a preparatory effort to align the actions of the operating team in this regard with the direction of the Management towards sustainability. As a first step, the Company in tie up with ESG World has established a dedicated page in its website summarising its sustainability efforts across Environment, Social and Governance matters which is benchmarked against global reporting standards. This will further lead into a focused gap analysis review wherein, in the areas requiring improvement, dedicated efforts can be made to align with the ESG goals in the best possible manner.

3. Does the Company identify and assess potential environmental risks?

Yes. Identification of potential environmental risks and the mitigation plan thereon is a continuous process. A report of the same is also placed before the Risk Management Committee of the Board of Directors on a periodical basis. Besides, the Board on a quarterly basis reviews the environment reports. Further, the Company also ensures that the discharge of effluent / emissions are within the permissible limits as prescribed by the statutory authorities.

4. Does the Company have any project related to Clean Development Mechanism?

No, the Company has not undertaken any specific project related to the Clean Development Mechanism as per the Kyoto Protocol. However, all the manufacturing locations of the Company are certified ISO 14001 (Environment Management System), QMS - ISO 9001 (Quality Management System), OHSAS - 18001. Most of the plants are also certified EnMS ISO 50001:2011. Electrominerals Business has developed a new variant of Brown Fused Alumina which uses less power, electrode and provides higher output with less emission. Similarly, every business unit of the Company is undertaking projects with clean sustainable development as priority.

The Industrial Ceramics Business had completed the project for migrating our ceramic sintering from liquid fuel to Natural Gas, thus bringing about cleaner operations.

The ISO 14001 systems constantly measures, monitors and provide focus towards sustaining and improving the energy efficiencies and mitigating environmental risks.

5. Has the Company undertaken any other initiatives on - clean technology, energy efficiency, renewable energy, etc.?

The Company utilises its resources in an optimal and responsible manner ensuring sustainability through reduction, re-use, recycling and managing waste. Appropriate measures to check and prevent pollution are undertaken and wherever required assessment of environmental consequences, if any, is taken up with due regard to public interest. Equitable sharing of access and commercialisation of biological and other natural resources and associated traditional knowledge is encouraged. The Company seeks to improve its environmental performance by adopting cleaner production methods, promotion of energy efficient and environmentally friendly technologies. Suitable processes and systems are developed with contingency plans and processes that help in preventing, mitigating and controlling environmental damages caused due to the Company's operations.

The Company promotes use of renewable energy through solar power plant installations and aims to reduce power consumption by replacing high energy consuming old technology equipment with latest equipment. This is in addition to the LED lamps, VFD drives, Recuperators etc., installed at its facilities. Further, the Company has set up various Small Group Activities (SGA) primarily to drive efficiency improvement and energy conservation.

In FY 2021-22, the Company has installed 146 kWp, 95 kWp and 604 kWp roof-top Solar power generators in Serkaddu, Ranipet and Sriperumpudur respectively thus increasing the share of sustainable energy sourcing.

The Company partners with global leaders in the space of Solar (photovoltaic) energy, Clean coal, SOFC (Solid Oxide Fuel Cells), windmills and VLBS (Very Large-Scale Battery Storage). The Company co-creates products for these companies/industries. Finer details on product/solutions cannot be provided due to contractual obligations.

Electrominerals Business has decided to focus on usage of clean energies in future and as a mark of this effort has entered into formal understanding for installing a 1.846 MV solar power inside the campus on BOOT basis.

For more details on the energy conservation initiatives - please refer Annexure D of the Directors' report for the FY 2021-22.

6. Are the emissions/waste generated by the Company within the permissible limits given by CPCB/SPCB for the financial year being reported?

Yes, the Company being in manufacturing business, at all times ensures compliance with the applicable environmental laws. The Environment Policy of the Company and the ISO 14001 certification of its facilities reiterates its commitment to be an environment friendly organisation setting standards in environment management.

7. Number of show cause/legal notices received from CPCB/SPCB which are pending (i.e. not resolved to satisfaction) as on end of financial year: Nil

Principle 7: Businesses, when engaged in influencing public and regulatory policy, should do so in a responsible manner.

1. Is your Company a member of any trade and chamber or association? Yes

- a. Confederation of Indian Industry
- b. Indian Ceramic Society
- c. Indian Refractory Makers Association
- d. Kerala High Tension and Extra High Tension Industrial Electricity Consumers' Association
- e. Kerala Management Association
- f. National Safety Council – Kerala Chapter
- g. Madras Management Association
- h. Employers Federation of India
- i. South India Chamber of Commerce
- j. SICMA - Europe
- k. Lucideon in UK
- l. The Institute of Indian Foundrymen
- m. The All India Glass Manufacturers' Federation (AIGMF)
- n. Indo German Chamber of commerce
- o. Indo Australian Chamber of Commerce

2. Have you advocated/lobbied through above associations for the advancement or improvement of public good?

The Company is not actively involved in lobbying. However, as a responsible corporate citizen, the Company as a part of industry associations/chambers makes recommendations/representations before regulators and associations for advancement and improvement of the industrial climate in India. The Company also represents its views/opinions on energy security & management, water, food security and sustainable business principles through various forums. The Company continues to be actively participating in representations with the regulatory bodies in connection with the relaxations / amendments / ideations etc. required for industries and corporates to tide over the continuing pandemic crisis.

The Electrominerals Business has been actively involved through the Kerala HT & EHT Industrial Electricity Consumers Association in taking up the cause of industries and public at large for fairness in supply of power and control of tariff.

The Business has been actively involved with Kerala Management Association and participated in programmes and competitions.

The Business has effectively utilised the forum of National Safety Council – Kerala Chapter for spreading the message of Safety through active involvement in its various initiatives including through the HSE Forum which is the technical arm of NSC-KC.

Principle 8: Businesses should support inclusive growth and equitable development.

1. Does the Company have specified programmes/ initiatives/ projects in pursuit of the policy related to Principle 8?

The Company upholds the Murugappa Group's tradition by earmarking a part of its income for carrying out its social

responsibilities, even before the mandatory CSR provisions under the Companies Act, 2013 were notified. The Company believes that social responsibility is not just a corporate obligation that has to be carried out, but it is one's dharma. Therefore, our philanthropic endeavours are a reflection of our spiritual conscience, and this provides us a way to discharge our responsibilities to the various sections of the society.

In order to support the efforts of the State Government to combat the ongoing crisis and also aid the Government to deal with emergency or distress situation posed by COVID-19, the Company made a contribution of Rs.10 million to the CM Public Relief Fund.

The local community assistance programmes undertaken at various plant locations included COVID-19 relief activities across locations through supply of medical equipment kits to frontline workers, supply of food and other essentials, setting up quarantine ambulance facility and providing oxygen cylinders. The contribution for these local initiatives and support aggregated to Rs.1.3 million approximately.

The CSR Committee, constituted for implementation of the well-defined CSR policy laid out by the Company, reviews the spend to be made and the projects for which such funds need to be allocated. The CSR policy highlights the responsibility statement of the Company towards CSR, the principles guiding the initiative, the manner of implementation and the reporting thereof. Skill Development, Education and Healthcare are the priority focus areas for the CSR initiatives of the Company.

The Company set up the CUMI Centre for Skill Development (CCSD) in the year 2012 at Hosur, to build a skill bank of a technically competent and industry ready workforce. During the year 2015- 16, the Company replicated this model in Edapally, Cochin and during 2018-19, the Company established this model in Ranipet, Tamil Nadu.

The Centre provides specialised training based on National Council Vocational Training syllabus for the rural youth drawn from socially and underprivileged sections of the society. The three-year training is imparted with a stipendiary payment and free boarding facilities, thus enabling the enrolled students to earn while they learn. The job-oriented skill training enhances their employability and aids in uplifting their socio-economic status. The technically trained students can be employed by any industrial entity once they complete the training programme. Running its 9th year of operation, the CUMI Centre for Skill Development (CCSD) believes in providing the right environment to candidates who emerge from deprived backgrounds and hone their skills to meet the future skill challenges of the world and not just for organisational purposes. Strategically located at Hosur (as well as in Cochin/Ranipet) connecting the borders of Karnataka, Tamil Nadu and Andhra Pradesh, the centre aims at attracting a diverse population also focusing specially on girl children as a healthy mix in each batch of students.

The CCSD has helped productively engage youth from difficult backgrounds, successfully steering them away from bad influences and mould them as technically skilled employees. Through each trainee, the Company has touched the lives of their extended families, offering financial and social security

and familial role models. Most of all, it has helped these bright young boys and girls achieve their potential. Several of the CCSD students have won Gold awards in the Regional and National Level skill competitions.

The CUMI Centre for Skill Development was recognised by the Directorate General of Training, MSDE, Government of India, for being the 'Best Training Facility in the Region', an honour that recognises the training facilities and strong courseware offered to rural youth drawn from socially and economically backward sections of the society. Further, the CUMI Centre for Skill Development, Hosur was declared as the 'Best Establishment of the Region' by the National Skill Training Institute. In its three facilities at Hosur, Ranipet and Cochin, over 100 plus students are trained on eight vocational trades while also learning languages, life skills and confidence to be valued members of society.

The sustainability of this initiative from a people and process standpoint, also comes from the strong linkage between:

- the CCSD administration
- the NGO agencies who help identify to deserving students.
- grass-root level universities like Gandhigram University who support us with infrastructure for interviewing and examinations.
- the parent support groups who work with the administration to help the student grow;
- the employees who volunteer to train students on various skills.
- the beneficiaries themselves. (In fact, students who have passed out have now become our brand ambassadors outside encouraging others to apply and take up the programme).

CCSD Kochi has won the performance Excellence Award 2022 from Department of Industries, Government of Kerala for the excellence in training to improve the employability of youngsters through the facility.

Due to COVID outbreak and resultant restrictions, regular classes and admission to the new batch was a challenge. However, when the situation improved, new students were admitted to all 3 CCSDs at Hosur, Ranipet and Kochi.

The COVID outbreak and resultant lockdowns has impacted the employment and income of people living in the vicinity of our plants. To support these people with a means of life, the Company has organised mushroom cultivation awareness programme for housewives. 68 housewives from low-income group, staying near our plants in Koratty and Edappally benefited from this initiative.

As a commitment to diversity & inclusion, the management added its diversity goals to the annual business goals and linked it to the variable compensation of leadership team. The management has mapped all the roles in the organisation and prepared a list of roles that can employ differently abled people. Going forward, this initiative will be progressed with greater focus on employing differently abled workforce and providing an inclusive opportunity to all.

Another initiative that has been widely appreciated by the community is the traffic warden duty undertaken by the employees and students at Hosur. Employee volunteers and students of the CCSD have been trained by the local Police Department and take up traffic management during peak hours in Hosur junction - a highly accident-prone area.

The traffic wardens also played a very crucial role in maintaining social distancing norms amongst public and in controlling traffic in Hosur, Tamil Nadu through the entire lockdown.

A portion of the CSR spend is also allocated for projects in the field of Education/Healthcare through implementing agency. The Company makes contributions to the Vellayan Chettiar Higher Secondary School (VCHSS), Thiruvottiyur, an institution that has been making a difference in the field of education for the past 50 years. Thiruvottiyur being an area dominated by people belonging to fisherfolk community most of the students in VCHSS belong to this community. With about 3000 students, this Government aided school provides quality education to the marginalised. The school runs with the vision - To provide Quality Education with good virtues, for the underprivileged. The school caters to the students from the marginalised communities around Tiruvottiyur. The educational qualification of the parents is maximum limited to schooling. Most families also face socio-economic difficulties due to problems like alcoholism resulting in health issues, desertion by families etc. More than 250 students from the school receive educational assistance through the Touch a Life scheme. Almost all the students benefitting from this scheme belong to single parent family. With the amounts funded through CSR, this school is now equipped with laboratories for Physics, Chemistry, Botany, Microbiology & Zoology, a Computer Centre and a General Science Lab for high school and middle school sections to facilitate experiential learning among the students. Besides making grants for running the School, the Company has also contributed to the cause of providing the less privileged students adequate facilities for excelling in sports such as athletics/football/basketball by facilitating the establishment of a vast playground and a basketball court for use by the students of VCHSS.

In Uttarakhand, the Company has contributed in providing a mobile health van to attend to the medical needs of the local community and creating awareness on the importance of healthcare in the nearby communities. This Mobile medical van is a fully furnished diagnostic lab with ECG, tests for typhoid, malaria. The health van carries a team of a doctor (MBBS - General Medicine), a trained nurse and a lab technician to run the diagnostics and covers the residents of the neighbouring villages. As on 31st March 2022, the mobile health van has serviced over 52,461 patients from the surrounding 13 villages resolving a number of basic health ailments and dispensing medicines for the same.

The Company made grants for procuring medical equipment at Sir Ivan Stedeford Hospital, Ambattur, Chennai thereby contributing to enhancing the healthcare infrastructure to beneficiaries. Sir Ivan Stedeford Hospital, a multi-specialty hospital set up in 1966, aims at providing quality care through latest technology to cater to the medical needs of the poor and needy sections of the society at an affordable

cost. The main objective is to not only provide access to healthcare but also provide quality healthcare to a large number of people who are living either on the poverty line or below it with compassion and care through dedicated doctors, staff and state-of-the-art modern equipment. The hospital treats over five lakh patients a year and performs over 5000 surgeries every year. It has state-of-the-art facilities in terms of equipment and machines to treat its patients. An oxygen generator capable of generating 50 N cu.m of oxygen per hour was set up in the hospital by the Company as part of its CSR initiatives.

A contribution was made to Hosur Industrial Association towards building a Skill Development Centre. Hosur Industrial Association was set up in the year 1981 with an aim to protect and promote the interests of industrial establishments located in and around Hosur. Considering the increasing unemployment due to lack of requisite skill and to bridge the gap between the skill requirement versus the actual skills available, a Skill Development Centre is being built by HIA in Hosur to promote education in the field of technical trades as well as commercial education like ERP, use of computers etc. The Centre is getting ready and is expected to start functioning from financial Year 2023. The Company also works at the community level with the villages and residents near their manufacturing facilities at each location.

A few notable initiatives are described below:

The employees at the Company's Kerala unit instead of discarding the unused but not expired medicines, bring them to the Company and deposit them in the box provided. These medicines are then handed over to the Government medical colleges through an NGO after a thorough screening and validity process. Based on their recommendation, this medication is then distributed to the economically backward community through the free medicines counter. In the past years, medicines worth a lakh of rupees have been donated, free of cost.

To combat the COVID outbreak, the organisation joined hands with government agencies in plant locations. An exclusive COVID testing kiosk was set up for the public at Primary Health Centre in Hosur. The Company sponsored food, food materials, PPE Kits, and other assistance to the Government agencies and stranded migrant labours, during the lockdown period. Laptop, printer and accessories were donated to the Health Department at Hosur to facilitate the data management for COVID vaccination. Free vaccination camps were organised at all locations for contract employees and migrant workers.

The Electrominerals Division and Industrial Ceramics Division have been recognised and conferred certificates of merit by EcoVadis, considered to be one of the world's largest and trusted provider of Sustainability Ratings platform.

2. Are the programmes/projects undertaken through in-house team/own foundation/external NGO/government structures/ any other organisation?

The Corporate Social Responsibility initiatives of the Company are implemented through an in-house team as

well as through implementing agencies - AMM Foundation, an autonomous Charitable Trust, Shri A.M.M. Murugappa Chettiar Research Centre (MCRC), a centre recognised by Department of Scientific and Industrial Research, Hosur Industrial Association for initiatives towards Skill Development in Hosur and Sri Sathya Sai Health and Education Trust an autonomous Charitable Trust running the Sri Sathya Sai Sanjeevani Hospitals across locations for assisting in pediatric cardio intervention to the less privileged children.

3. Have you done any impact assessment of your initiative?

Replicating the CCSD model of Hosur in Cochin and Ranipet is a result of the impact assessment conducted by the Company. The Company in the previous years had set up a basketball court for VCHSS and provided a football ground to the school. These were provided as a result of the impact assessment undertaken in that area.

4. What is your Company's direct contribution to community development projects?

Please refer the CSR report in Annexure B of the Directors' report for the FY 2021-22 for complete details on the spend made by the Company during the financial year ended 31st March 2022.

5. Have you taken steps to ensure that this community development initiative is successfully adopted by the community?

The Company's dedicated CCSD team operating at Hosur, Cochin and Ranipet constantly engages with the NGO's, residential associations etc. in and around the factories to understand and identify the deserving candidates from various backgrounds. Further, the students enrolled with CCSD along with their parents meet the executives of the centre on a monthly basis along with the residential association representatives and discuss on the positives that have been achieved through the programme. A two-way flow of feedback - one from the Centre regarding the student's performance and another from the parent's end ensures that the student's development is taken utmost care of. Further, the representatives of the self-help groups, who also participate in the meeting, give their opinion on any other development programmes that can be initiated for the betterment of the students. The students enrolled at the centre are also highlighted the importance of being a responsible citizen; they regulate traffic at important junctions, initiate 5S, Cleanliness drives from their hostel rooms to external environment. The confidence and the professional conduct shown by the students is an acknowledgement to the Company of its successful implementation of the CCSD initiative.

In respect of the CCSD programme, a strong measurement system has been put in place including tracking and reporting results, creating transparency and accountability, thus providing a strong incentive for all stakeholders to perform up to the expectations. The Company also tracks how individuals perform against CSR goals as well as the resultant impact. This has been possible through its interim reports, beneficiary feedbacks and implementation reviews. Also

multi-criterion analysis is conducted to quantify the results of the programme. The stakeholder forum and the parents of the students enrolled in CCSD meet on a monthly basis (every 1st Saturday) to get feedback on the improvements that can be undertaken for the student development. The residential associations from whose localities the students belong to also provide feedback on the positives achieved from the programme and suggest if any improvements can be brought in.

The indirect programmes for assisting communities in and around plant locations has also positively impacted & influenced those in the nearby communities.

Principle 9: Businesses should engage with and provide value to their customers and consumers in a responsible manner.

1. What percentage of customer complaints/consumer cases are pending as on the end of financial year?

The total number of customer complaints across all businesses which were pending at the end of the year continues to be less than 5 per cent which have been subsequently resolved.

2. Does the Company display product information on the product label, over and above what is mandated as per local laws?

Yes. Wherever relevant, the Company encourages that its packaging/ labelling contain detailed information regarding safe handling, storage and use, which is over and above what is mandated as per local laws.

3. Is there any case filed by any stakeholder against the Company regarding unfair trade practices, irresponsible advertising and/ or anti-competitive behaviour during the last five years and pending as on end of financial year:

None.

4. Did your Company carry out any consumer survey/ consumer satisfaction trends?

Yes. The Company on a periodical basis conducts various consumer survey/satisfaction trends. The Company put its customers at the fulcrum of its business strategy. The Company understands their requirements and provides them holistic solutions rather than merely supplying materials.

The Company collaborates meaningfully with its customers for co-creating sustainable products and solutions. Dedicated customer/ dealer meetings, customer plant visits, transparent and compliant product labelling ensures awareness creation for the product usage and safe disposal. Customer visits are not necessarily confined to their product needs but also extends to sharing of best practices like TQM, TPM etc. It is also worthy to note that a significant portion of the Company's business pertains to offering customised products. Hence, customer's requirements rank very high to the Company. During the year, considering the travel restrictions on account of the pandemic, the customer engagement initiatives were carried out in the virtual mode without causing any adverse impact on the customer relationship.

The Business Responsibility Policy of the Company governing its business sustainability efforts is available on the Company's website www.cumi-murugappa.com.

Chennai
May 13, 2022

On behalf of the Board
M M Murugappan
Chairman